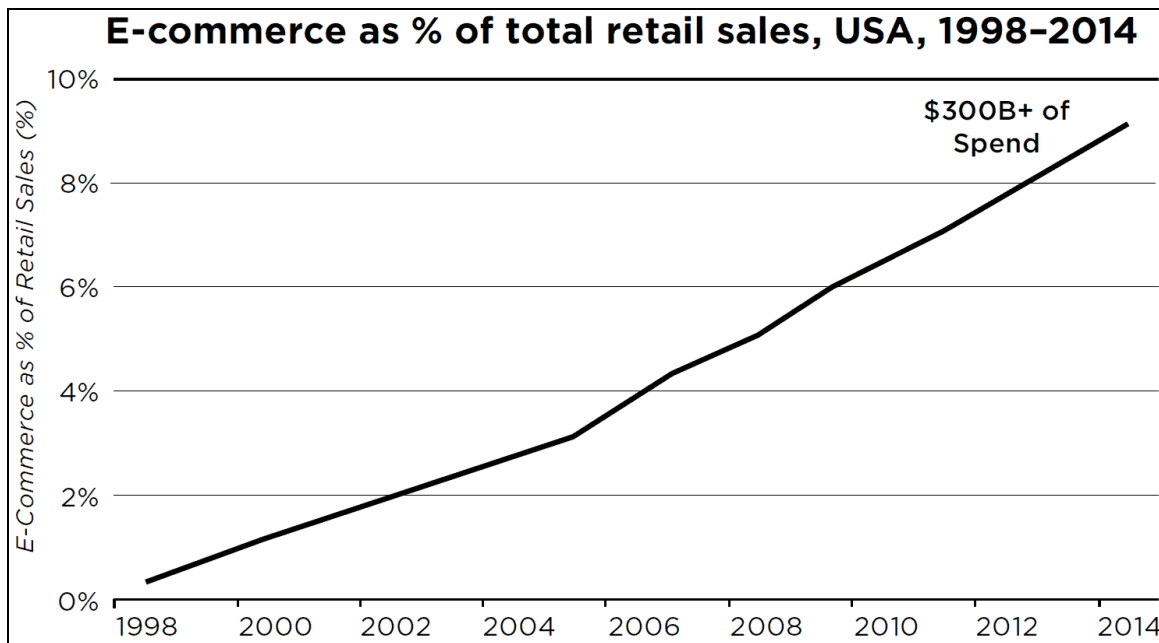


question is, could you have come up with a sound argument to buy Amazon based on fundamentals before it became a 100-bagger?

Thompson argues for an emphatic yes. And I agree with his reasoning.

Before I get to that, I want to start with a big-picture observation.

Thompson shared a chart that I found truly remarkable and thought about for several minutes as the implications rushed through my head. See the chart below, which reveals the growth of e-commerce as a percentage of overall US retail sales.



It almost seems obvious now, but was it so hard to imagine back in 1998 or 2002 that Internet sales would someday make up more than sub-2 percent of retail sales? Seeing this makes me wonder where my head was. (I never owned Amazon, despite being a heavy user of its services.)

And what's incredible about it is that even today, only 9 percent of all US retail sales happen over the Internet. Amazon started when this was almost nothing. Even now, is it a stretch to think Internet sales could make up 35 percent of all retail sales or even half? Maybe this 100-bagger has a long way to go.

But to get back to Thompson's analysis. ...

"First, there's an important myth to dispel about Amazon," Thompson writes. "The consensus opinion is pretty clear: Amazon does